

Unite and conquer – End-to-end value creation through intra-organizational purchasing-sales integration

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ABSTRACT

An effective value chain depends on the seamless flow of goods, services, and information between chain partners. A rich literature describes how a firm's purchasing function may develop effective co-creation relationships with upstream suppliers, while its sales function co-creates value with downstream customers. However, effective end-to-end (E2E) value creation is often hampered by the missing relationship between a firm's purchasing and sales functions. Especially in industrial manufacturing firms, purchasing and sales often operate independently from each other resulting in lost opportunities and inefficient supply chains. Although buying and selling are often treated as separate disciplines, academics increasingly emphasize the need for effective purchasing-sales integration (PSI).

Inspired by two Special Issues of *Industrial Marketing Management* on the purchasing-sales interface, we contribute to this emerging literature with an integrated academic-practitioner perspective. Based on extensive practical and academic experience, we develop a conceptual framework that integrates the scope and intensity of PSI, illustrate it with numerous practical examples, and formulate guidelines for management to strengthen their organizations' PSI. In addition, we present several theoretical propositions and suggestions for both future research and for business schools to connect purchasing and sales in terms of their curriculum, degrees, course materials, research projects, and collaboration with practitioners.

1. Introduction

In an effective E2E supply chain, organizations at all levels of the chain collaborate successfully with their suppliers and customers (Childerhouse & Towill, 2011; Fawcett & Magnan, 2002; Flynn et al., 2010). Upstream, purchasing connects with suppliers as part of a broader supply chain or operations management organization to ensure supply of materials and components, establish and manage supplier relationships, and maximize its contribution to business performance (Cousins et al., 2006; González-Benito, 2007). Downstream, marketing and sales work in tandem to connect the organization's business processes with customers, wherein marketing focuses on strategy and value propositions and sales maintains relationships with individual customers and generates revenues by closing the sale (Kushwaha & Dubey, 2018; Matthyssens & Johnston, 2006).

Considering that both purchasing and sales¹ operate as outward-facing functions, connecting the organization to upstream and downstream partners, effective collaboration between the two functions is critical for successful E2E value creation. However, in practice, an organization's purchasing and sales functions frequently operate as distinct silos, divided by a virtual brick wall (O'Brien, 2019) and characterized by physical and emotional distance that is deeply embedded in the company's organizational structures and culture (Smith, 2015). Both functions use separate reporting lines, different objectives and incentives, and often operate in different thought worlds, with purchasing still frequently stereotyped as the “sober savings yin” to the “success spending yang” of sales (McAllister, 2016). As a result, “at many companies, it is easier to develop cooperative relationships with external supply chain members than it is to break down silos that exist around individual functions” (Fawcett & Magnan, 2002, p. 360). The

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¹ Since, in business-to-business (B2B) organizations, marketing and sales work closely together to offer and deliver superior value to customers, with sales representing the ultimate connection between the organization and its customers, we will use the term ‘sales’ to denote both customer-facing functions: marketing and sales.

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opportunity costs of such a Janus-faced organization (Wilson et al., 2013) are enormous. Many firms fail to realize the numerous benefits of purchasing-sales integration (PSI) – which refers to the alignment between purchasing and sales processes through formal and informal mechanisms to work together and maximize outcomes for their firm and external exchange partners (Da Silva Poberschnigg et al., 2020; Frankel & Mollenkopf, 2015; Pellathy et al., 2019) – such as improved efficiency and competitiveness of organizations through a better understanding of markets and customers, less unnecessary costs, higher quality of products and services, improved inventory management, faster response times, and increased process efficiency (Ensolv.com, 2025; Oboloo.com, 2025). Even firms that acknowledge the need for and benefits of PSI lack the detailed guidelines required to transform their purchasing and sales functions from isolated, outward-looking silos into strategic functions that use their relationships with external partners to contribute to E2E value creation.

In the business literature purchasing and sales have also developed autonomously, with no real bridge between them. But “it is hard to imagine how an enterprise can successfully procure raw materials, components, sub-assemblies, packaging (...), if there is not a live connection with the customer-facing side of the business” (Gattorna, 2011). Recently, there is a surge of interest in the relationship between purchasing and marketing/sales, with scholars discussing the need for integration (Fawcett & Magnan, 2002; Ivens et al., 2009; Ogden et al., 2005; Piercy, 2009; Sheth et al., 2009), as well as antecedents of integration, integration approaches, and the impact of integration on performance (Gonzalez-Zapatero et al., 2016; Guercini & Runfola, 2009; Smirnova et al., 2011; Toon et al., 2016; Wagner & Eggert, 2016). While these studies provide useful insights, they tend to be conceptual, relying on descriptive concepts based on supply chain models, or present single case studies addressing operational demand-supply coordination.

In this article, we address this knowledge gap about how firms can systematically implement PSI at a strategic level by exploring the following problem statement: How can firms improve the integration between their purchasing and sales functions to support E2E value creation in the supply chain? As a practitioner-academic author team, we developed our article by combining several decades of practical and academic experience in purchasing, supply management, and marketing/sales to conceptualize PSI in terms of its scope and intensity and offer a holistic perspective on how firms can connect their external relationships with suppliers and customers with the internal integration that supports value co-creation activities across supply chain members.

Our article is structured as follows. First, we summarize the extant literature on purchasing, sales, and PSI. Next, we develop a parsimonious, yet comprehensive framework that combines the scope and intensity of PSI to showcase the broad variety of PSI manifestations in firms. To illustrate the different combinations of PSI scope and intensity from our framework, we then present numerous examples from business practice. Next, we develop a systematic implementation process that firms may use to assess, improve, and monitor their PSI. This is followed by a discussion of managerial implications that firms may use to improve their PSI. Finally, we present several implications for business schools and directions for future research to further our understanding of how PSI contributes to effective value creation throughout the supply chain.

2. Conceptual background

2.1. Purchasing: from cost savings to value creation

Upstream, a B2B organization's purchasing function interacts with suppliers. A rich literature describes how purchasing has evolved from a passive, clerical, order-placing function into a strategic contributor to a firm's competitive advantage (Paulraj et al., 2006). A firm's purchasing function is historically closely linked to its manufacturing operations, with purchasing being a reactive function charged with obtaining the required materials and components at low costs (Glavee-Geo, 2016).

Purchasing was and often still is regarded as “a static, rules-bound organization ... doing clerical work, placing orders, and chasing parts” (Emiliani, 2010, p. 117). As manufacturing became increasingly efficient and the number of competitors grew, markets changed from sellers markets into buyers markets, and purchasing's emphasis shifted from reducing costs to improving quality (Cammish & Keough, 1991; Ellram & Carr, 1994). Purchasing became a contributor to a firm's competitive advantage by drastically reducing the supplier base, developing long-term partnerships with selected suppliers, and improving time to market (Ansari & Modarress, 1988; Burt, 1989; Reck & Long, 1988). Closer relationships with a limited number of carefully selected suppliers allowed firms to transform purchasing into a strategic business function and suppliers into valuable partners that help improve product quality and contribute to a firm's product development efforts (Burt & Soukup, 1985; Williams & Smith, 1990). The portfolio purchasing model, introduced by Kraljic (1983), helped firms to reduce costs and make purchasing more strategic by developing appropriate purchasing strategies for different types of products – non-critical, bottleneck, leverage, and strategic items – based on their supply risk and profit impact.

In the 1990s purchasing practices reverted to a cost-cutting focus through strong-arm tactics, renegotiating existing contracts, and squeezing suppliers. With the rise of the internet, online reverse auctions were used to pit suppliers against each other in open bidding (Bartels et al., 2003; Kuo et al., 2004; Pawar et al., 2017). However, over time companies came to realize that pressing suppliers hurts their profitability and commitment, and companies started to repair supplier relationships, invest in supplier development, and share sales data to optimize the value chain (Kavanagh, 2012). Research findings show that collaborative supplier relationships are beneficial for both parties and significantly impact a company's bottom line through higher growth, lower operating costs, and greater profitability (Gutierrez et al., 2020).

Over time, purchasing's focus evolved from cutting costs to maximizing its contribution to firm performance. Not just by effectively and efficiently sourcing goods and services that the company needs and negotiating better contracts with suppliers (González-Benito, 2007), but increasingly by being subject matter experts on what is purchased and managing supplier relationships to contribute to the firm's value-creation process. “Where once simply acquiring the lowest price was enough to indicate that purchasing had done its job well, now the judgment has shifted to their ability to select strategic partners who can help solve the company's most pressing business problems and help them take advantage of their best opportunities. Purchasing is now soundly in the value creation business” (Iannarino, 2010). Purchasing develops partnerships with selected suppliers and uses these relationships to help identify and develop new business opportunities for the firm, particularly in sourcing innovation and sustainability solutions from upstream markets (Luzzini et al., 2015; Suurmond et al., 2020). A Chief Procurement Officer (CPO) of an industrial company recently summarized purchasing's role as follows: “The CPO is not only the chief procurement officer anymore, but the chief partnership officer as well—partnerships externally with suppliers and internally with other functions and business units—with procurement being a knowledge broker, creating value from the collaboration between inside and outside of the company” (Erriquez et al., 2023).

Thus, in leading firms purchasing has become the outward-facing function linking (a) the firm's partnerships with suppliers to improve their performance and identify co-creation opportunities with (b) the firm's other business functions that contribute to its value-creation process.

2.2. Sales: from transactions to value creation

Downstream, a B2B organization's sales function interacts with customers to generate revenues for the firm. A rich literature stream details how sales organizations have transformed from a transactional, order-getting function into a strategic business function that uses

enhanced market sensing capabilities to leverage market intelligence and integrates with other business functions to identify new business opportunities and co-create value with customers (Haas et al., 2012; Storbacka et al., 2009; Töytäri & Rajala, 2015). While sales coordinates closely with marketing to implement complementary market-related activities (Malshe & Biemans, 2014; Matthyssens & Johnston, 2006), salespeople interact daily with individual customers to execute marketing strategies, maintain customer relationships, and close the sale (Rouziès et al., 2005). Whereas the traditional focus of sales was on obtaining orders, the nature of sales and selling has changed significantly over time (Elhajjar et al., 2024; Marshall et al., 1999; Moncrief et al., 2006). Early studies emphasize that, in addition to selling, sales is ideally positioned to collect market information (Gordon et al., 1997; Grace & Pointon, 1980; Lambert et al., 1990; Moss, 1979). Through their regular interactions, salespeople use consultative selling to help customers understand their needs and identify appropriate solutions (Rackham & DeVincentis, 1999). Customer value management became the fundamental principle of business marketing (Anderson & Narus, 2004), sales organizations became more strategic (Haas et al., 2012; Piercy, 2010), and salespeople's task became to “work with their customers and their companies to develop solutions that enhance the profits of both firms” (Weitz & Bradford, 1999, p. 243).

Buyer-seller relationships became more integrated and selling occurs in complex buyer-seller interfaces where many different actors and functions of both organizations interact to co-create value (Hartmann et al., 2018). Salespeople implement value-based selling which has a positive impact on customer satisfaction, competitive advantage, salesperson performance, and firm performance (Baumann & Le Meunier-FitzHugh, 2015; Kienzler et al., 2019; Payne et al., 2008; Terho et al., 2015, 2012), especially when they focus on outcomes that are important to customers, the so-called customer performance indicators (Cornfield, 2020). After all, “salespeople often have the best insight and opportunities to both *create* value for customers and *appropriate* value for sellers” (Blocker et al., 2012, p. 16). According to the service ecosystem perspective, salespeople increasingly become knowledge brokers that help customers and their own firm to co-create value, with selling and value creation processes unfolding over time in complex systems involving many actors, blurring the boundaries between sales and other business functions (Hartmann et al., 2018; Hughes et al., 2012; Ranjan & Friend, 2020; Rapp et al., 2014; Vargo & Lusch, 2016).

Thus, in leading firms sales has become the outward-facing function linking (a) the firm's co-creation efforts with customers to identify new business opportunities with (b) the firm's other business functions that contribute to its value-creation process.

2.3. Purchasing-sales integration

As both purchasing and sales interact with outside parties to identify opportunities that ultimately contribute to the firm's creation of superior value for customers, the literature increasingly advocates an E2E perspective in which purchasing and sales also interact internally to avoid intra-organizational chain disconnects, enhance the firm's value-creation process, and improve business performance (Lambert & Enz, 2017; Matthyssens et al., 2016; Sheth et al., 2009; Toon et al., 2016).

Scholars have long acknowledged this need for a symbiotic relationship between both outward-facing functions. Over a century ago, Hysell (1922, p. 79) argued that “The life and success of the business depends upon the coordination of all departments, but cooperative coordination between purchasing and sales departments is the vital element in manufacturing and selling.” Both outward-facing functions are the antennas to the organization's up- and downstream markets, its competitive eyes and ears (Hardt et al., 2007) and are “inextricably linked together” (Ford et al., 2011, p. 8). Upstream and downstream market strategies parallel and support each other; although sales ultimately generates revenues, a selling strategy is only successful when it is translated into a matching sourcing strategy and vice versa (Biemans &

Brand, 1995; Jääskeläinen & Heikkilä, 2019; Jüttner et al., 2010). Purchasing and sales should synchronize supplier and customer relationship management via an internal alliance (Pardo et al., 2011; Piercy, 2009), potentially managed by one combined organizational unit (Carter et al., 2000). Scholars suggested that purchasing might collaborate directly with customer-facing functions (O'Brien, 2019) and thus operate as a ‘mediator’ between suppliers and customers (Tunisini & Sebastiani, 2015). Similarly, Webster, 1992 argued that marketing and sales must get involved in relationships with suppliers as much as with customers. Because purchasing has information about suppliers, solution packages and prices, sales must interact with purchasing to identify opportunities for the co-creation of value, cost savings, improved response times, and increased process efficiency (Ensolv.com, 2025). For effective value-based selling (Baumann & Le Meunier-FitzHugh, 2015; Blocker et al., 2012; Keränen et al., 2023; Kienzler et al., 2019), sales must engage with purchasing because purchase decisions may directly influence the outcome of sales efforts.

With the current focus on more service- and solution-driven sales (Tunisini & Sebastiani, 2015), increased outsourcing of manufacturing (Axelsson et al., 2005), and increased customization of product and service offerings (Boconcelli & Tunisini, 2012), the requirement of a strong intra-organizational link between a firm's two outward-facing functions is increasingly emphasized in the literature (Ivens et al., 2009; Piercy, 2009; Sheth et al., 2009; Wagner & Eggert, 2016). The integration of purchasing and sales is decisive in achieving an outward-facing supply and value chain for improved performance results and value creation. In line with previous research findings (Childerhouse & Towill, 2011; Hillebrand & Biemans, 2004; Zhao et al., 2011) we argue that unless internal (cross-functional) integration between purchasing and sales is well established, the results of external supplier- and customer-facing (E2E) integration will not deliver the desired performance improvements. Table 1 summarizes the extant literature on the integration of purchasing and marketing/sales. While this table is meant to be illustrative rather than exhaustive of the current body of knowledge on integration of a firm's outward-facing functions, we can draw two key conclusions. First, many scholars emphasize that firms must integrate their two outward-facing functions to achieve successful value creation across the supply chain, but much is still unknown about how to achieve this. Second, most studies are theoretical and/or rely on rather abstract concepts – such as co-management (Wagner & Eggert, 2016), internal dynamics (Toon et al., 2016), and cross-boundary integration (Piercy, 2009) – without providing managers with specific tools and guidelines to implement them. By providing practical tools and guidelines for their implication our article addresses this gap in the literature.

2.4. Theoretical foundations

The preceding literature review suggests that three theoretical concepts are key to understanding PSI: cross-functional collaboration, supply chain integration, and value co-creation (VCC).

Cross-functional collaboration refers to collaboration between members from the same hierarchical level but from different business functions to accomplish a specific task (Robbins, 2001). A rich literature details how cross-functional collaboration is central to new product development (NPD) (De Luca & Atuahene-Gima, 2007; Gemser & Leenders, 2011) and strategy implementation (Frankwick et al., 1994; Hutt & Speh, 1984). In addition, various literature streams explore the interfaces between two business functions, such as marketing and R&D (Becker & Lillemark, 2006; Griffin & Hauser, 1996) or sales and supply chain management (Schrock et al., 2024). Based on the resource-based view (Barney, 1991; Day, 1994) and social exchange theory (Cropanzano & Mitchell, 2005; Emerson, 1976), scholars acknowledge the need for cross-functional collaboration beyond immediate neighboring functions and advocate for extensive collaboration between purchasing and sales (Sheth et al., 2009; Toon et al., 2016; Williams et al., 1994). Cross-functional collaboration has been identified “as the

Table 1

Extant literature on intra-organizational link between purchasing and marketing/sales.*

Reference	Context	Type of article	Key insights
Williams et al. (1994)	Purchasing-marketing collaboration	Empirical, survey, 56 companies	Purchasing and marketing must both facilitate exchange processes in the value chain Improved purchasing-marketing collaboration is beneficial for firms
Biemans and Brand (1995)	Reverse marketing	Theoretical	Purchasing and marketing both facilitate transactions and relationships with external parties Purchasing can apply familiar marketing principles, concepts, and techniques to develop relationships with suppliers
Ivens et al. (2009)	Organizing and integrating purchasing and marketing	Theoretical	The purchasing-marketing interface has been overlooked in the literature Purchasing and marketing are mirror images of each other Purchasing-marketing integration facilitates a firm's value creation process
Piercy (2009)	Strategic relationships between a firm's boundary-spanning functions	Theoretical	Customer value is created through collaboration with partner organizations and suppliers Management of value processes requires integration of cross-boundary functions that define, create, and deliver customer value This increases the need for integration of purchasing and marketing/sales
Sheth et al. (2009)	Purchasing-marketing integration	Theoretical	A shift from products to solutions and more customer-centric marketing requires more purchasing-marketing integration This has implications for selecting, training, and recruiting marketers and purchasers, as well as their roles in the supply chain
Jüttner et al. (2010)	Integrating marketing and supply chain strategies	Theoretical	Integrating marketing and supply chain strategies involves corporate integration, strategic customer integration, strategic supplier integration, and marketing-supply pipeline strategy

Table 1 (continued)

Reference	Context	Type of article	Key insights
Pardo et al. (2011)	Purchasing-marketing integration	Empirical, one case study	integration Co-creation of value requires integration of marketing and purchasing to ensure seamless activities from suppliers to customers Interactions between purchasing and marketing have largely been neglected Purchasing and marketing remain not natural collaborative functions; the initiative for collaboration came mostly from purchasing, supported by top management
Smirnova et al. (2011)	Purchasing-marketing collaboration	Empirical, interviews plus survey, 148 companies	Purchasing-marketing collaboration has a significant, positive effect on business performance Purchasing-marketing collaboration mediates the effect of interfunctional interaction and customer orientation on business performance
Bocconcelli and Tunisini (2012)	Relationship between purchasing and marketing	Empirical, anecdotal data plus longitudinal study of eight companies	The purchasing-marketing relationship within firms has largely been ignored There are four types of purchasing-marketing relationships: exchanging relationship, interacting relationship, interfacing state, and integrating setting
Tunisini and Sebastiani (2015)	Customer-driven procurement	Empirical, one case study	Delivering superior value to customers requires customer-driven procurement This requires growing integration between a firm's purchasing and sales functions
Gonzalez-Zapatero et al. (2016)	Antecedents of purchasing-marketing integration for new product development	Empirical, survey, 141 companies	Five integration mechanisms have varying impact on information shared and understood, and on aligned decisions Joint participation and ICT are effective in improving information shared and understood Physical proximity has a significant

(continued on next page)

Table 1 (continued)

Reference	Context	Type of article	Key insights
Matthyssens et al. (2016)	Aligning purchasing and marketing for new value creation	Empirical, four case studies	effect on alignment of decisions Firms increase their alignment between purchasing and marketing to improve value creation More alignment can be achieved through increasing interaction between purchasing and marketing activities and processes, or through structural organizational dimensions
Toon et al. (2016)	Purchasing-marketing integration	Theoretical, illustrative case study	Purchasing and marketing link a firm with its suppliers and customers, but often neglected in practice Three approaches to purchasing-marketing co-ordination: transactional, integrative, and co-management
Wagner and Eggert (2016)	Co-management of purchasing and marketing	Theoretical	Co-management of purchasing/supply and marketing/sales allows firms to connect upstream and downstream resources to improve value creation Firms use different types of purchasing-marketing co-management constellations, contingent on dependence on suppliers and customers
Merminod et al. (2017)	Interfaces between logistics, marketing, and purchasing	Empirical, 10 interviews	Creation of value for customers requires intra-organizational coordination of logistics, marketing, and purchasing Strong links between the three functions did not exist and respondents have traditional perceptions of the roles of other functions Barriers for improvement of linkages are organizational and behavioral
Jääskeläinen and Heikkilä (2019)	Supply management practices for customer value creation	Empirical, 32 interviews in four companies	Customer value is created from suppliers to the firm and its customers Customer value creation requires integration between purchasing and marketing

* Although most articles refer to purchasing-marketing integration, rather than purchasing-sales integration, all articles focus on the interface between a

firm's two outward-facing functions and discuss closely related topics. We focus on the relationship between purchasing and sales because sales is the most outward-facing function, is becoming increasingly strategic, and interacts daily with customers to develop relationships and co-create value – and thus best represents the mirror image of purchasing.

primary source of impact” (Hardt et al., 2007) and quintessential for achieving improved business results.

Supply chain integration (SCI) has been defined as “the degree to which a manufacturer strategically collaborates with its supply chain partners and collaboratively manages intra- and inter-organizational processes, in order to achieve effective and efficient flows of products and services, information, money and decisions, to provide maximum value to the customer” (Flynn et al., 2010, p. 58). SCI uses principles from the resource-based view of the firm, which suggests that firms are able to achieve competitive advantage by developing unique resources and capabilities (Barney, 1991; Day, 1994), and the interaction approach, which focuses on interactions and relationships between individual business actors (Håkansson, 1982; Johnsen et al., 2017). Research findings show that only a minority of firms is really outward-facing; that is, reporting high levels of integration with both suppliers and customers (Fawcett & Magnan, 2002; Frohlich & Westbrook, 2001) and scholars have suggested that internal integration may be a first step toward external integration (Childerhouse & Towill, 2011). After all, “poor internal integration may hinder the cooperation of the marketing function with manufacturing and purchasing, which are needed to integrate with the customer to better meet customer's requirements” (Zhao et al., 2011, p.21).

VCC refers to companies and customers interacting and collaborating to jointly generate value (Galvagno & Dalli, 2014; Ranjan & Read, 2016). The concept is rooted in the service-dominant logic that suggest a shift from products to services and from customers to co-creators (Vargo & Lusch, 2004). Over time, VCC gradually transitioned from dyadic interactions to a reciprocal process between multiple actors involved in complex interactions to deliver value (Saha et al., 2022). In a B2B context, VCC may happen with the active involvement of both upstream suppliers and downstream customers (Pralad & Ramaswamy, 2000; Saha et al., 2022; Vargo et al., 2008). Normann and Ramírez (1993) introduced value constellations “within which different economic actors – suppliers, business partners, allies, customers – work together to co-produce value” (p.66).

These three theoretical concepts are interrelated in the quest for sustainable competitive advantage: cross-functional collaboration between purchasing and sales enables firms to integrate with upstream (suppliers) and downstream (customers) partners and realize the supply chain integration that is required to achieve the ultimate objective of E2E value co-creation. For example, the theoretical concept of crossing points may be used not only to understand interactions and alignment between a firm and its suppliers or customers, but also between its purchasing and sales functions (Hartmann et al., 2018; Plouffe et al., 2024).

3. Conceptual framework for PSI

Grounded in a synthesis of the extant literature and our practical experience, we developed a PSI framework (Fig. 1) that combines two key dimensions from the extant literature: the scope of PSI (based on the strategic marketing process) and its intensity (varying from connection to co-creation).

3.1. Scope of integration

The scope of PSI refers to the nature and number of subsequent strategic activities that are aligned across purchasing and sales (Pellathy et al., 2019). The scope of PSI is rooted in the similarities between a firm's buy- and sell-side activities (Biemans & Brand, 1995; Leenders &

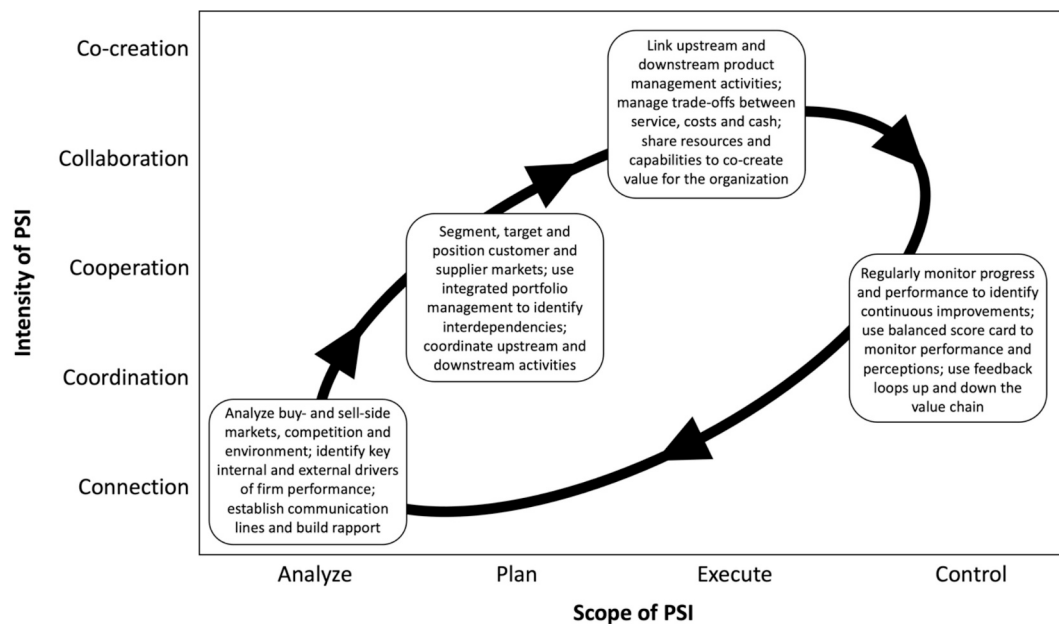


Fig. 1. Scope and intensity of purchasing-sales integration

Blenkhorn, 1988), which suggest that firms would benefit from aligning the strategic directions of purchasing (to suppliers) and selling (to customers) across the value chain (Gattorna, 2010; Lambert & Enz, 2017). The scope of PSI increases as the firm aligns more subsequent strategic marketing activities: analyze, plan, execute, and control (Wilson & Gilligan, 2012).

The initial scope of PSI is to *analyze* the company in relation to the market, competition, and business environment to identify all major value, cost, and risk generating activities across organizational boundaries (Dekker, 2003). The exchange of information has to be coordinated between purchasing and sales, including information about management of the network of relationships with key players, and is ideally maintained within the same business intelligence platform (Biemans & Brand, 1995; Esper et al., 2010). The results from a strengths, weaknesses, opportunities, and threats (SWOT) analysis combine internal attributes of the organization with external attributes of the market, competition, and business environment, and identify key factors that may significantly impact progress toward the company's objectives.

Based on the situation analysis and market assessment, firms may develop a strategic sourcing and selling *plan*, like the segmenting, targeting, positioning approach used in marketing (Webster, 1992). Using portfolio management, upstream and downstream markets are segmented, classifying suppliers and customers in a limited number of clusters. Category management approaches, aimed at targeting specific products/customer groups and implemented on the sell-side, can be mirrored on the buy-side. Indeed, "as with much of purchasing best practice, many elements are the reverse of the marketing approach ... there is still great potential for organizations that can figure out how to connect the two together to create an end-to-end category management approach" (O'Brien, 2019, p. 9). Finally, firms tailor and prioritize strategies and actions to develop compelling selling (buying) propositions toward targeted customers (suppliers). On the sell-side firms differentiate themselves from the competition to obtain the status of preferred supplier or supplier of choice (Ulaga & Eggert, 2006), while on the buy-side they position themselves as preferred customer (Hüttinger et al., 2012).

The next scope of PSI is to *execute* a plan to achieve the desired position toward both targeted customers and suppliers. The product life cycle model can be used to dovetail up- and downstream product management activities. Especially product development, maturity and

elimination require a close working relationship between purchasing and sales (Rink & Fox, 2011). Price and cost management link target pricing toward customers with target costing toward suppliers, with upstream costing targets based on downstream pricing strategies. "Collaboration between procurement and sales, along with other functions, becomes vital for protecting and increasing margins while managing risk" (Erriquez et al., 2023). At the same time, long-term value creation opportunities exist by stretching suppliers' willingness-to-sell and customers' willingness-to-pay (Oberholzer-Gee, 2021). Based on annual budgets, sales volumes are matched against available manufacturing and sourcing capacities (Wagner & Eggert, 2016) and trade-offs are managed within the supply chain triangle of service, cost, and cash (DeSmet, 2018). A strong B2B brand stimulates sourcing image-laden components from upstream markets (Kotler & Pfoertsch, 2010), "making suppliers part of the overall brand identity and value set" (O'Brien, 2018, p. 34).

After implementation, firms may further increase the scope of their PSI through regular *control* to monitor progress toward joint objectives and initiate continuous improvements. Performance reviews are often based on the balanced score card concept, a multi-dimensional representation of the firm's financial performance, intra-organizational processes, innovation/learning, and inter-organizational customer or supplier perspective (Hasan & Chyi, 2017; Kaplan & Norton, 1992). The score card combines quantitative (performance) and qualitative (perception) measures, with both lagging (retrospective, hard facts) and leading (prospective, soft facts) indicators and trends (O'Brien, 2018), which serves as input for a new buy- and sell-side strategic marketing cycle.

3.2. Intensity of integration

The intensity of PSI refers to the degree to which lateral interactions between purchasing and sales are frequent and close within a firm (Luo et al., 2006). A rich literature on inter-firm collaboration demonstrates that cooperative relationships between firms may take many forms that vary in intensity (Bahemia et al., 2017; Gemser & Perks, 2015), which also applies to intra-firm relationships (Matthyssens et al., 2016; Tuni-sini & Sebastiani, 2015). This results in a continuum of PSI intensity from connection to co-creation.

At the lowest PSI intensity, firms improve on their patchwork

situation – with both functions being distant physically (location), culturally (context) and cognitively (objectives) – by creating a *connection* to permeate internal boundaries. For example, by having members from both disciplines engage with each other, establish communication lines, and build interpersonal rapport for a more intense working relationship. An NPD project (González-Zapatero et al., 2020) may be a starting point for mutually exchanging, sharing, disseminating, and processing ideas, and thus for creating a reciprocal flow of information (Pellathy et al., 2019).

Once a connection is established, both functions may initiate *coordination* of activities relevant to value chain management. Such functional coordination (Foerstl et al., 2013) uses a process perspective by sequencing, timing, and optimizing activities up- and downstream for increased efficiency and productivity (Pellathy et al., 2019). As the involved business functions – not just purchasing and sales, but also operations, research & development, and marketing – often report to different organizational entities, successful cross-functional coordination largely depends on resolving conflicting interests (Merminod et al., 2017). For example, consumer demands for sustainable products, managed at the sales interface with retailers, require a coordinated traceability project, managed at the sourcing interface with suppliers (Bocconcelli & Tunisini, 2012; González-Zapatero et al., 2020).

With *cooperation* between both outward-facing functions the relationship becomes more formalized and individual and team goals are prioritized toward joint cross-functional objectives (Pellathy et al., 2019). This requires regular feedback loops up and down the value chain between sourcing options (purchasing) and value propositions (sales) (Carlisle & Parker, 1989). For example, Cisco established cross-silo ‘voice of customer’ teams across functional boundaries to facilitate the internal cooperation on six E2E processes (Gulati, 2007). When IBM transitioned from a product- toward a service-driven business model the cooperative relationship between purchasing and sales contributed significantly to achieving common targets (Tunisini & Sebastiani, 2015).

While cooperation is mostly based on defined roles and responsibilities (like in a classical orchestra), *collaboration* hinges on less structured, more creative, experimental working relationships (like in a jazz combo). Shared resources, cross-utilization of capabilities and leveraged skills lead to collaborative ways of achieving common objectives. Johnson & Johnson employs a council with members from different business units to decide when to outsource and how much spend to allocate to one supplier (Weiss & Hughes, 2005). A world leader in specialty chemicals experimented with collaboration between an upstream market intelligence unit and downstream business unit, and experienced both benefits and the ongoing struggle to make the collaboration between these ‘unnatural partners’ work (Pardo et al., 2011).

The ultimate target of integrating a firm’s buy- and sell-side functions is the *co-creation* of value for the organization (Gouillart & Quancard, 2016). This is achieved when purchasing and sales have merged their capabilities and know-how to develop an advanced business model. When the relevant employees have previous experience in different functions and deep knowledge of advanced organizational processes in the context of value creation it allows them to design “organizational solutions deemed as appropriate to tackle specific strategic objectives” (Matthyssens et al., 2016, p. 71). One of the key success factors for Body Shop, the British cosmetics company, has been its E2E value proposition. By connecting the voice of customers for fair-trade products, captured through sales in retail, with the capabilities and commitment of core suppliers, managed through sourcing, brand value was co-created (O’Brien, 2019).

As summarized in our conceptual framework (Fig. 1), different scopes of PSI require different levels of intensity of the relationship between both functions and the findings from the control stage can be used as input for another analyze-plan-execute-control cycle. Firms may use the conceptual framework to assess their current PSI and determine and implement measures to improve it (see Section 6.1, ‘Managerial

implications’). For example, firms with more operational and executional purchasing and sales organizations should focus on connecting and coordinating the interface between both functions, whereas firms with more strategically developed purchasing and sales functions will be able to improve the interfunctional cooperation and start collaborating on joint activities to pave the way for co-creation initiatives.

4. Examples from practice

Depending on their organizational characteristics and context, B2B firms may find themselves at different positions of the conceptual framework, using different methods to improve their PSI. This section presents several practical examples of how firms have improved the integration between their purchasing and sales functions, structured according to the different scopes of PSI (analyze – plan – execute – control), which are accompanied by different intensities of PSI. As there is a dearth of tangible examples in the extant literature, these use cases are largely distilled from the personal business experience of one of the authors who has several decades senior management experience in purchasing and supply chain management, as well as in sales and key account management, at several B2B companies. The examples were selected to illustrate different PSI scope/intensity combinations of our conceptual framework and include companies from various supply chain levels, from tier 2 (such as Mauser Packaging) and tier 1 suppliers (for instance, Cognis and Akzo Nobel) to consumer packaged goods manufacturers (like Colgate-Palmolive and Henkel) and retailers (for example, IKEA).

4.1. Analyze

The initial scope of PSI revolves around analyzing markets and creating a connection between the firm’s purchasing and sales functions. Analysis of supplier and customer markets must be done in synchronization rather than isolation, enabling purchasing and sales to create an integrated understanding of the overall competitive landscape. At Colgate-Palmolive, purchasing provides information about suppliers and their relationships with Colgate-Palmolive’s competitors, like Procter & Gamble and Unilever. Similarly, sales provides information about customers that also purchase from competitors. Marketing connects this up- and downstream information with volume/revenue streams to lay out the competitive landscape. Colgate-Palmolive used this competitive information as input for an integrated buy- and sell-side SWOT analysis, evaluating the oral care toothbrush market in preparation for its new Precision toothbrush, which was based on proprietary breakthrough technology and aimed to achieve dominant market shares, comparable to other oral care segments like toothpaste (Quelch & Laidler, 2006). Successful realization required very close supply- and demand-side coordination of activities. Because the company lacked in-house expertise on manufacturing toothbrushes, purchasing screened the global supply market and developed an exclusive partnership with Swiss manufacturer Trisa for this product. This partnership proved to be a very successful long-term source of product innovation.

An important aspect of a successful purchasing-sales connection at the analysis stage is the regular exchange of information. Upstream suppliers are a source of downstream market intelligence, which is especially relevant in fast-moving consumer goods markets. At Colgate-Palmolive, purchasing engages core suppliers for fragrances and packaging in NPD dialogues early on (early supplier involvement) and supports marketing and sales in gaining valuable insights in new consumer trends. In return, core suppliers are given preferred access to NPD briefings by Colgate-Palmolive’s marketing. Similarly, at Cognis (the former chemicals business of adhesives and consumer goods company Henkel) key account and sales managers regularly involved purchasing managers as subject matter experts for upstream market intelligence or to develop sales proposals. Mauser Packaging Solutions, global market leader in industrial packaging, has used combined supplier, competitor,

and customer data – provided by purchasing, marketing, and sales – to create powerful supply and demand analytics that are visualized in so-called ‘heat maps’. These maps summarize current and potential sales and purchasing volumes, which are essential before quoting for any large customer tender or entering major supplier negotiations.

4.2. Plan

Through planning the connection between purchasing and sales is extended to coordination of activities and cooperation/collaboration between both functions to align their strategies. Based on consolidated market information (supply, demand, competition, substitution, new entries), purchasing and sales must strategize and further plan their internal cooperation. Purchasing-sales cooperation is based on an integrated supply/demand portfolio segmentation (O’Brien, 2018; Wagner & Eggert, 2016). Products and services that are of strategic importance for marketing and sales and, at the same time, rely on materials and services that are of strategic importance for purchasing are prioritized and require the strongest cooperation or collaboration. IKEA clusters the products it sells into five category groups, dependent on their impact on the company’s competitiveness: no impact, moderate impact, high impact, high impact with in-house design, and steering position in the market. This segmentation is mirrored by purchasing’s classification into: cost avoidance, lowest unit cost, lowest total cost, optimize value, and create value (Carlsson, 2019). Unidirectional priorities from purchasing or sales require frequent information exchange (weekly/monthly). Sales must be informed when sourced materials or services might be of limited supply so that it can proactively communicate this to their customer base, while purchasing must be informed when finished products or services might be phased out so that it can proactively inform their supplier base.

At the organizational level, firms must link customer-facing with supplier-facing segmentations to integrate relationship management (Jüttner et al., 2010). Gattorna (2010) developed a combined segmentation scheme that links four distinctively different supplier-selling and customer-buying logics (innovative, demanding, efficient, collaborative) to define purchasing and sales strategies. By aligning a firm’s supplier and customer base in the same way via behavioral segmentation, a firm connects the pivotal points of an E2E value chain and avoids a one-size-fits-all approach. A focus on the most relevant segments – typically three or four out of the 16 theoretical clusters – covers 80+ % of the business. Linking the relevant customer and supplier groups defines the firm’s positioning. For example, Akzo Nobel’s Coatings division’s focus for the sell-side efficiency segment is a buy-side, lean purchasing strategy, while for the innovative, specialty segment it implements an agile buy-side strategy aimed at de-risking partnerships (Wynstra, 2021).

4.3. Execute

In the third stage, the alignment between purchasing and sales, and their positioning versus partners in the value chain, bears fruit through execution of the marketing mix. The product life cycle concept helps to guide purchasing-sales collaboration through the phases of introduction (focus on speed and innovation), growth (focus on availability and quality), maturity (focus on cost and standardization), and decline (focus on flexibility and elimination), guiding the collaboration between both functions (Jüttner et al., 2010). Henkel & Schwarzkopf’s hair care product *Re-Nature®* required a key raw material – 5,6-Dihydroxyindole – to activate re-pigmentation of grey hair to its natural color. After ten years of intensive research and development, the much-anticipated product launch was set for rapid market penetration and purchasing had to ensure fast ramp-up of volumes through reliable manufacturing and European distribution. The launch of a universal product initially stalled and Henkel & Schwarzkopf re-positioned separate variants for male and female consumers, as well as for different hair colors.

Purchasing, sales, and the involved supplier and distributor collaborated closely to adjust the originally expected sales volumes.

Purchasing and sales must also collaborate to achieve product harmonization and standardization. In the industrial packaging market, the plastic or steel drums of Mauser Packaging Solutions are defined by standard global specifications, while components like lids and closures may vary and customers often specify and approve just one manufacturer. By working proactively with its customer base, sales can initiate the approval of alternative manufacturers and help purchasing to change specific components from bottleneck to common leverage items.

Effective pricing also requires close collaboration between purchasing, marketing, and sales, ideally in a structured margin management process. Joint, regular (monthly, at least quarterly) reviews of product margins throughout the entire portfolio define the range of target pricing (via sales) and target costing (via operations and purchasing) activities. At Cognis, purchasing supported sales in negotiations with customers, explaining key raw material price developments and implementing index-based pricing formulas for automatic adjustments of contract conditions. Similarly, sales supported purchasing in negotiations with suppliers, explaining competitive product positioning, sales volumes, and upcoming product development activities. Of critical importance is the buy- and sell-side synchronization of regular pricing adjustments via escalation clauses in supplier and customer contracts. At Mauser Packaging Solutions, all major contracts with key suppliers for resin and steel (defining >50 % of manufacturing costs for plastic and steel drums) were based on price escalation clauses, published as producer price indices (PPI) per industry. Likewise, all major contracts with key accounts for plastic and steel drums were based on price escalation clauses according to PPI indices. However, as buy- and sell-side contract starting points, thresholds, or adjustment periods may not be in sync, time lag effects come into play and influence product margins. Thus, when bidding for new sales pipeline opportunities or tendering out for new purchasing contracts, rigorous and mutual review of contractual agreements is essential to avoid margin degeneration.

Physical distribution of products is especially relevant for businesses with a combination of tight planning and servicing schedules, for example, just-in-time deliveries and freight cost intensive high volumes. In industrial packaging, delivering (and returning) empty drums to and from customers over more than 200–250 miles is often economically, and definitely ecologically, disadvantageous. Mauser Packaging Solutions identified structural supply and demand imbalances through data analytics and initiated manufacturing footprint projects, either by investing in greenfield production or brownfield joint ventures and acquisitions. Closing the gap by being adjacent to customers, or sometimes being on-site at customer locations, requires tight E2E value chain collaboration between customers (via sales) and suppliers (via purchasing).

Purchasing-sales collaboration may also affect promotion and branding activities. As specialty chemicals company Cognis positioned itself on ‘green chemistry’, that is, a natural fats and oils raw material base, its marketing campaigns (‘Feelosophy’, ‘Greenovating’, ‘New-trition’) springboarded off the downstream megatrends of wellness and sustainability (Scherer et al., 2021). Its upstream sourcing of independently accredited, renewable raw materials, such as certified, sustainable palm oil, was often decisive in gaining and developing customers. For certain applications, close purchasing-sales/marketing collaboration resulted in co-creation of new products, such as a new generation of offshore drilling agents that protect the marine ecosystem.

4.4. Control

After purchasing and sales have implemented their coordinated activities through close collaboration, they can support each other in regular business reviews with upstream suppliers and downstream customers. Firms critically review their performance and perception of relationships with key accounts and key suppliers, using both

quantitative and qualitative metrics, as input for a new buy- and sell-side strategic marketing cycle.

At Cognis, purchasing and supply chain managers prepared customer-specific scorecards on key metrics (for example, ‘on time, in full’ and ‘on-time delivery’) for fact-based discussions and sales negotiations with major customers. At Mauser Packaging Solutions, marketing and sales regularly attended key supplier meetings to gain insight in upstream market developments and trends as well as competitor activities. In one of those meetings, Mauser’s technical sales manager was introduced to a newly developed load securing system for steel drums by a key supplier. In co-creating the market introduction, based on a sales and distribution contract, the product was successfully launched as DrumGuard® and recognized by the industry with the 2020 Packaging Innovation Award.

5. Implementing PSI

Firms may follow a systematic implementation process to assess, improve, and monitor the integration between their purchasing and sales functions (Fig. 2).

Step 1. Determine the firm’s current PSI

Firms must determine their current PSI scope and intensity as the benchmark to identify appropriate implementation measures and assess implementation progress and results. For example, by analyzing the collaboration between both functions, joint activities, skills of purchasing and sales personnel, senior management’s attitude toward cross-functional integration, IT systems integration, and the use of aligned reward metrics. To better assess their current PSI and competitive position, firms should also study how other firms integrate their purchasing and sales functions – both major competitors and leading firms in other industries that serve as ‘best-in-class’ benchmarks. Firms may use

a broad range of methods to collect the required information, including published case studies, industry reports, interviews, casual conversations with contacts from other companies. For example, firms may get access to senior executives at leading companies by joining forums such as the Supply Chain Executives Council (The Conference Board) or the Global Supply Chain Institute (University of Tennessee Knoxville). All collected information can be integrated in a SWOT analysis.

Step 2. Determine the desired PSI

A PSI implementation plan requires clear, measurable objectives that specify what the firm wants to achieve within a specific time frame. Formulated PSI objectives depend on a range of factors, including available resources, estimated returns, key challenges, and identified obstacles, but also on industry structure. For example, [Wagner and Eggert \(2016\)](#) suggest that the appropriate scope and intensity of PSI is contingent on the extent to which the company depends on a few customers or suppliers. Strong dependence on critical upstream or downstream resources increases the benefits of close collaboration between purchasing and sales for bottleneck and strategic items, while routine and leverage items can be handled independently by purchasing or sales. Taking into account the organization’s culture, the desired PSI also depends on the compatibility and complementarity of capacities and capabilities in both functional areas, coined as ‘relational rent’ ([Dyer & Singh, 1998](#)), the social attractiveness of working with each other toward common targets, and bilateral sharing of know-how and benefits ([Lambert & Cooper, 2000](#); [Viale, 2019](#)). Firms may determine realistic objectives for a desired PSI through exploratory purchasing-sales workshops, internal interviews, sharing best practices, and formulating joint objectives related to E2E value creation.

Step 3. Create the required organizational infrastructure

Effective PSI requires alignment between the two functions that overcomes the traditional organizational, social, cognitive,

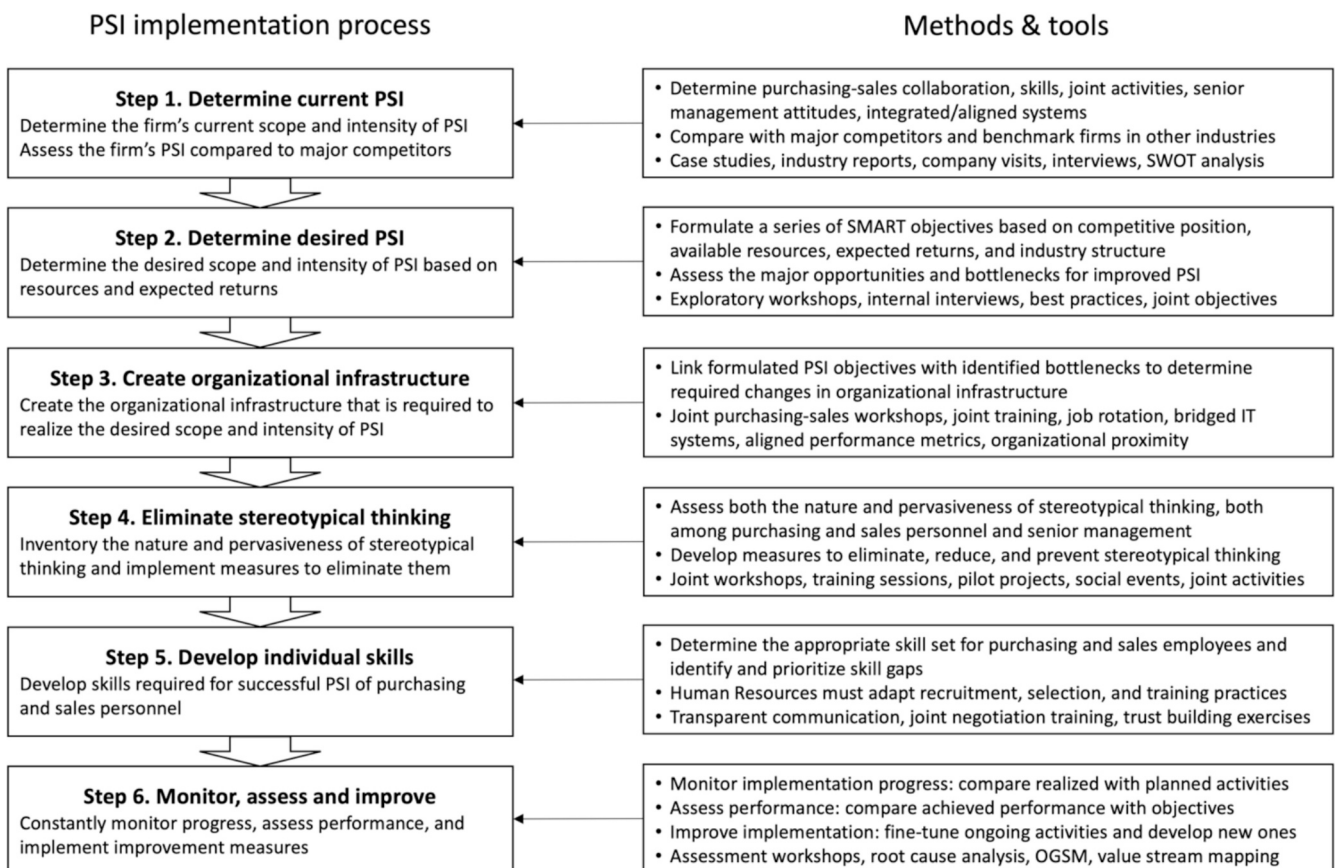


Fig. 2. A systematic process to implement PSI.

technological, and geographical distance between them (Koulikoff-Souvion & Harrison, 2006). For example, supplier of specialty chemicals Cognis achieved:

- **Organizational integration** by making purchasing of natural fats and oils part of an integrated organizational unit that included operations, product management, and margin management. External integration is achieved through a supplier relationship management program ‘Joining forces – Creating value’ based on input from similar programs of key accounts.
- **Social integration** through a joint training and development program – with sales trained using in-house business cases and videotaped sessions with purchasing managers as negotiation counterparts, and vice versa, cross-functional (sales and purchasing, but also R&D, operations, supply chain management, and finance) and cross-cultural value chain trainings with external moderation, as well as job rotation between purchasing and sales.
- **Cognitive integration** by measuring and incentivizing the global purchasing and supply chain organization, as well as the global sales and key account organization, based on overall company and SBU-specific profitability and net working capital targets.
- **Technological integration** by applying customer relationship management (for example, Salesforce) as a simultaneous supplier relationship management system for customer and supplier data, visit reports, and project and pricing information, which also contributed to data harmonization.

Step 4. Eliminate stereotypical thinking

A common impediment to effective PSI is stereotypical thinking among purchasing and sales personnel. In many firms, purchasing is still regarded as a clerical function, focused on placing orders (Emiliani, 2010). Similarly, sales is often regarded as order takers, chasing transactions from individual customers. To improve their PSI, firms must eliminate stereotypical thinking by assessing the nature and pervasiveness of such preconceptions and educating employees about how both functions contribute to value creation (Alnakhi et al., 2021; Blocker et al., 2012; Jääskeläinen & Heikkilä, 2019). Joint workshops, training sessions, and role plays help to eliminate outdated perceptions, increase mutual understanding of each other’s role and contribution, and build interpersonal and interfunctional trust. In addition, firms may jumpstart PSI implementation by developing and implementing a small-scale project that involves employees from both functions. For example, Cognis encouraged purchasing managers to sell the most relevant category strategies to their sales colleagues, and sales managers to get buy-in for their key account strategies from their own purchasing counterparts. In addition, shared accountabilities, joint social events, joint customer visits, transparent communication, and celebrating collaborative projects also help to eliminate stereotypical thinking and bust organizational siloes (Bento et al., 2020).

Step 5. Develop required individual skills

Apart from improving their organizational infrastructure and culture, firms must also invest in developing the required skills of purchasing and sales employees. Both functions must reflect cross-functional breadth rather than functional depth (Baker & Saporito, 2007), execute a cross-functional management training and education process (McCarter et al., 2005), and develop the skills and traits required to form and maintain meaningful cross-functional relationships (McAllister, 2016; Wilson et al., 2013). Human Resources has to develop a supply chain of people (Hoffman, 2007), leading to changes in how they recruit, select, and train sales and purchasing employees (Sheth et al., 2009) and start “moving managers between sales/marketing and procurement responsibilities, recognizing the transferability of these skills” (Webster, 1992, p.11). While in many organizations PSI is minimal, both functions can learn valuable skills from one another that drive better internal alignment (Kushalani & Handfield, 2013). Purchasing and sales personnel must be T-shaped professionals, who are both

specialists in their own specific, technical area (vertical) and generalists possessing the required people skills (horizontal) needed for effective cross-functional communication, collaboration, and relationship building (Hansen & Von Oetinger, 2001; Saukkonen & Kreus, 2022).

Step 6. Monitor, assess and improve

Every PSI implementation process should constantly monitor progress (comparing realized with planned activities), assess performance (comparing achieved performance with prespecified objectives according to a previously established timeline), and develop and implement measures to further improve implementation (both fine-tuning ongoing implementation activities and developing new ones). This can be achieved through regular workshops to assess and discuss general progress or specific activities, using root cause analysis (for example, the 5 Why’s or fishbone diagrams), OGSM (Objectives, Goals, Strategy, Measures), value stream mapping, and bottleneck analysis (Hansen & Nohria, 2004).

6. Discussion

While scholars have argued in favor of PSI and developed conceptual models to capture certain elements of such integration (Fotiadis et al., 2023; González-Zapatero et al., 2020; Ivens et al., 2009; Matthyssens et al., 2016; Sheth et al., 2009; Wagner & Eggert, 2016), extant literature has left managers without detailed guidelines about how to improve their purchasing-sales interface. Examples from practice illustrate the importance of PSI and its impact on firm performance and customer satisfaction (see Exhibit). Our conceptual PSI framework, practical examples, and implementation framework provide firms with much needed practical insights and suggestions to improve their PSI. In the following sections we discuss several managerial implications, theoretical implications, and suggestions for future research to advance our understanding of how to improve PSI in firms.

Exhibit: Impact of PSI on firm performance and customer satisfaction

Kentucky Fried Chicken: Divide and fail

In 2017, Kentucky Fried Chicken (KFC) decided that in the UK it would terminate its well running agreement with Bidvest Logistics for the supply of fresh chicken from two local farmers through three distribution centers to their 900 restaurants. A very challenging task, as fresh poultry must be transported in a closed refrigerated loop from farm to fork within five days. However, KFC saw an opportunity to reduce costs and improve service and sustainability by tendering out their upstream logistics. KFC’s unionized franchise staff strongly opposed this and warned that the new supplier DHL would fail, referring to a similar decision by Burger King to cut costs that resulted in poorer quality service and distribution. Nevertheless, KFC decided to go ahead and within two days after the transition it had to close 80 % of its UK outlets due to a lack of supply. Faced with a loss of £1 million per day, and unable to resolve the problems, KFC decided 10 days later to move 400 restaurants back to its previous logistics provider, followed by the remaining 500 outlets one year later. KFC’s buy-side decision, taken independently and disconnected from its sell-side, criticized as “penny-pinching” and “bird-brained”, highlights the importance of supply security for demand fulfillment. (Rozemeijer & Wynstra, 2020)

John Lewis Partnership: Unite and conquer

John Lewis Partnership (JLP) illustrates how a strong intra-organizational link between purchasing and sales improved the customer experience. John Lewis opened his first drapery store in London in 1864 and in 2022 JLP generated a turnover of £12.25 billion, with the company strongly focused on reducing costs and increasing margins and customer focus. JLP’s procurement organization underwent a strategic transformation to contribute both up- and downstream to the company’s objectives. JLP recognized that its procurement organization could contribute directly to its exceptional customer experience. Half of the company’s costs are spent on wages paid to employees in JLP’s branches, called “partners”, with the other half paid to suppliers for goods and services. Both employees and suppliers are prime sources for value generation through customer experience. Where traditionally suppliers were introduced at the back end of the procurement process, JLP moved innovative suppliers to the front end by involving them early on in store (re)model projects, together with design and property teams. This strategy delivered remarkable results. Purchasing is now directly linked to sales, suppliers contribute to innovation, and purchasing’s focus and image shifted from cost reduction to value creation. (Efficio Consulting, 2025)

6.1. Managerial implications

Our conceptual framework (Fig. 1) can be used to achieve an integrated focus on value co-creation across supply chain partners that results in a stronger purchasing-sales relationship and blurring of both intra-organizational and inter-organizational boundaries (Kushalani & Handfield, 2013). This integrated perspective, in which firms establish a clear line of sight from suppliers to customers and from customers to suppliers (Rogers, 2009) is illustrated in Fig. 3. In addition to the numerous practical examples and PSI implementation framework presented in previous sections, our framework suggests three major managerial implications.

First, firms should design and implement an organizational environment that encourages and facilitates PSI. For example, firms must bridge IT systems by working off integrated management information systems/business warehouse platforms to capture and disseminate data and information across both functions and create a platform for supply/demand-integrated knowledge management (Bendoly et al., 2012). In addition, they should implement shared tools and methods, such as joint workshops, training sessions, and job rotation (Majchrzak et al., 2012). Firms also have to develop joint skills and competencies aimed at interpersonal communication and collaboration, as well as empathy and understanding the counterparts role and objectives (McAllister, 2016; Saukkonen & Kreus, 2022; Wilson et al., 2013). Finally, firms should align performance metrics, even when both functions report to different organizational units, and create organizational proximity between both functions – which increases spontaneous information exchange, speeds up decision making, and enhances creativity (Ambos et al., 2016). For example, by creating space for physical and virtual proximity, having sales, marketing, and SBU managers meeting suppliers jointly with purchasing and signing off on sourcing strategies, and having purchasing managers join sales managers on customer visits and negotiations.

Second, whereas we presented our PSI implementation process as a logical sequence of steps, in practice firms need to adapt their implementation process to their specific circumstances. For example, firms with severe thought world differences and conflicts between their two outward-facing functions may choose a different implementation path. Rather than start with determining their current PSI, they may decide to first eliminate stereotypical thinking and train purchasing and sales personnel in the basics of cross-functional communication to pave the way for a smoother implementation process. In addition, firms may incorporate several feedback loops in the implementation process; for

example, by adjusting implementation objectives to more realistic levels when significant bottlenecks in the organizational infrastructure or culture are uncovered.

Third, extant research findings suggest that internal integration is a prerequisite for successful external integration with customers and suppliers (Childerhouse & Towill, 2011; Hillebrand & Biemans, 2004; Zhao et al., 2011). Firms should develop an internal communication and collaboration culture that matches, and creates synergy with, their communication and collaboration with external partners. As illustrated by recent findings (Zhong et al., 2023), the internal integration selected must fit the desired level of external integration with supply chain partners in order to optimize supply chain performance.

6.2. Theoretical implications

While previous studies about the intra-organizational link between a firm's two outward-facing customers emphasize the need for integration (Fawcett & Magnan, 2002; Gonzalez-Zapatero et al., 2016; Piercy, 2009; Sheth et al., 2009), insights about how to implement such integration are scarce and tend to use rather abstract concepts, such as co-management constellations (Wagner & Eggert, 2016) or organizational dynamics that contextualize the inter-functional relationships (Toon et al., 2016). In contrast, we address the central managerial question: *How can firms improve the integration between their purchasing and sales functions to support E2E value creation in the supply chain?* Our theoretical contribution is a conceptual framework that proposes several combinations of PSI intensity and scope that are grounded in the familiar stages of the strategic marketing process (as used in business practice) and different levels of intensity of interfunctional integration (as suggested in theory; Bahemia et al., 2017; Gemser & Perks, 2015). In addition, we explain how these different combinations of PSI scope and intensity differ from and are related to each other. Based on our framework (Fig. 1) and the extant literature, we suggest four propositions.

First, each scope of PSI requires an appropriate intensity of integration between purchasing and sales. For example, implementing analysis requires establishing an effective connection between purchasing and sales in terms of communication lines, interfunctional rapport, and coordinated exchange of information. In contrast, planning requires more coordination and collaboration between both functions to identify interdependencies and develop strategic initiatives toward suppliers and customers that are aligned and facilitate E2E value

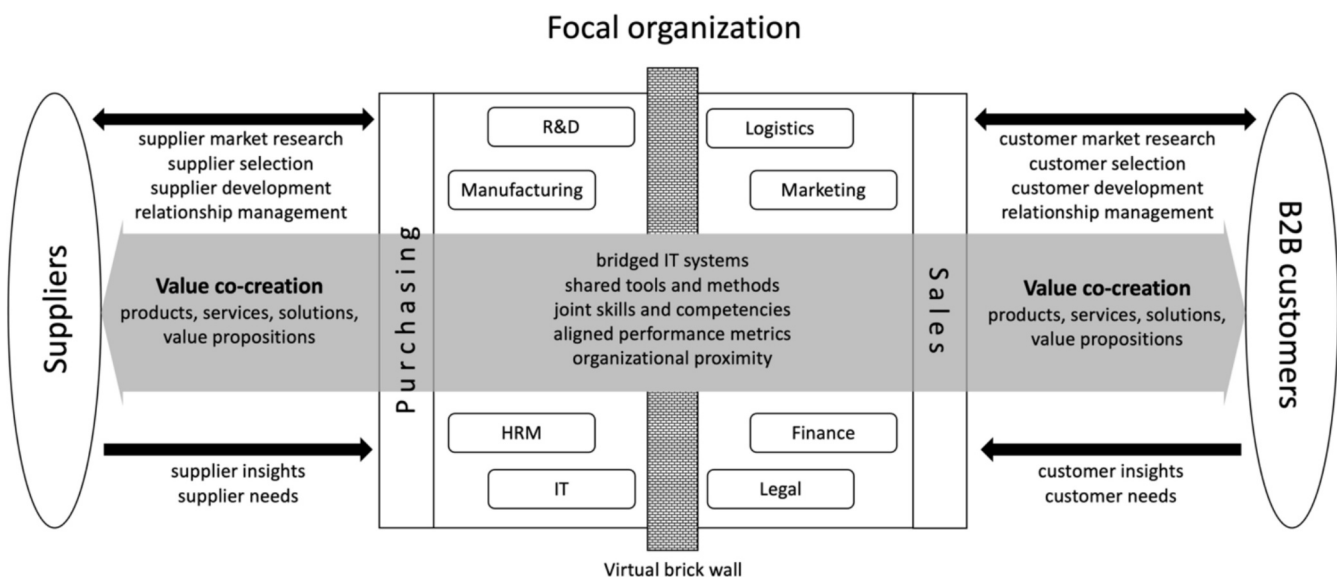


Fig. 3. E2E value creation through PSI.

creation. During execution PSI intensity is high; purchasing and sales collaborate to link upstream and downstream activities and co-create value with external partners that benefit all parties involved. Control requires lower PSI intensity to monitor performance and identify opportunities for improvement. Thus, we propose the following:

P1: Effective implementation of each PSI scope requires an appropriate PSI intensity.

While the starting point for firms to improve their PSI depends on their initial PSI state (that is, the nature and quality of the relationship between both functions), successful implementation of PSI requires firms to implement the entire sequence from analysis to control (Wilson & Gilligan, 2012). Even firms that have already connected both outward-facing functions internally need to start with assessing the quality of all key attributes of a successful interfunctional connection, such as frequent bi-directional communication, interpersonal rapport, and aligned objectives before they design and initiate PSI improvement initiatives.

P2: The proposed combinations of PSI scope and intensity represent a logical sequence, from analysis to plan to execute to control.

Each subsequent stage of the analyze-plan-execute-control process requires firms to build on its previous efforts and investments (Harmon, 2019). For example, successful execution requires effective planning, which relies on an open exchange of information and effective relationships between purchasing and sales during the analysis stage. Thus, we propose that firms must develop and implement cumulative investments in both outward-facing functions, their interfunctional relationship, and their connections with external partners (Toon et al., 2016; Wagner & Eggert, 2016).

P3: The successive combinations of PSI scope and intensity require cumulative efforts from both outward-facing functions and the firm.

Improving a firm's PSI will be more successful when the firm systematically assesses each implemented project and uses the outcomes of these after-action reviews to develop and initiate new projects that build on previous projects (Darwin, 2017; Dixon, 2017). Such a learning organization becomes more effective in achieving E2E value creation through a series of subsequent improvement projects that strengthen both the firm's intra-organizational link between purchasing and sales and its interorganizational links with suppliers and customers (Piercy, 2009).

P4: Successful completion of combined purchasing sales projects strengthen the PSI.

6.3. Future research directions

The frameworks, concepts, and ideas presented in this article are the result of a synthesis of relevant literature and practical experience. While their generic nature makes them widely applicable, they also suggest several directions for future research that revolve around the three focal concepts of our article: (1) proposed effective combinations of PSI scope and intensity, (2) our PSI implementation framework, and (3) the link between PSI and integration with external partners that underlies our E2E value creation concept.

We proposed that effective PSI requires firms to implement a sequence of specific combinations of PSI scope and intensity. Future research may test our proposed PSI scope-intensity combinations, and explore the cumulative efforts required to implement them effectively. Others may investigate the impact of organizational and market factors. For example, a firm's available resources, the maturity of its purchasing and sales functions (Schweiger, 2015), and its industry structure (Wagner & Eggert, 2016) are expected to influence the need for PSI, shape the nature of specific combinations of scope and intensity, and impact their effectiveness. Future research may also use the concept of crossing points (Hartmann et al., 2018; Plouffe et al., 2024) to take a more fine-grained look at the interactions between purchasing and sales as firms implement a sequence of different PSI scope-intensity combinations. For example, what determines the thickness of crossing points

between purchasing and sales? What can firms do to make purchasing-sales crossing points thinner? Which strategies are most successful, and what are expected outcomes?

Our PSI implementation framework suggests a logical sequence of steps that firms can implement to assess and improve their PSI. While this framework is widely applicable, a potential limitation is that firms may need to adapt it to their specific characteristics and context. Future research may investigate which implementation activities are most critical for PSI implementation. For example, how do elements of an aligned purchasing-sales interface – bridged IT systems, shared tools and methods, joint skills and competencies, aligned performance metrics, organizational proximity – differentially improve PSI? Other future studies may explore alternative implementation paths and the nature and relevance of feedback loops during the implementation process. Finally, future research may focus on specific elements like the role and impact of employee characteristics and nature of required cross-functional skills of purchasing and sales professionals or the type of employees needed to create effective PSI. For example, recent research findings suggest that introverted people are better at listening and may therefore draw more value out of their colleagues on the same team (Chaker, Habel, Hartmann, Johannsen, & Rusche, 2024; Flynn et al., 2023).

The core idea underlying our article is that PSI is required for effective E2E value creation. This link between internal and external integration suggests several directions for future research. Since E2E value creation depends on a chain of effective inter- and intra-functional relationships, future research may study outcomes at different levels of the chain, develop appropriate metrics, and investigate how upstream metrics impact downstream performance. In such studies, scholars may include metrics at the value chain, organizational, functional, and individual levels, including the interrelationships between them. In addition, although the extant literature assumes positive effects of cross-functional integration, future research may explore potential negative effects or unintended consequences of PSI, such as increased interfunctional rivalry or groupthink, and their subsequent impact on organizational capabilities and firm performance (Luo et al., 2006; Maltz & Kohli, 1996). Another suggestion is to take a closer look at value co-creation with supply chain partners. E2E value creation is predicated on the idea of effective value co-creation that benefits all partners, but partners may have different interpretations of value and therefore what value creation means. Future research may explore how the nature of value co-creation with specific external partners (suppliers or customers) is related to each other and what is required to ensure that it benefits all parties and creates synergy across the supply chain.

7. Concluding remarks

With increased outsourcing of manufacturing and customization of solution-driven offerings (Axelsson et al., 2005; Bocconcelli & Tunisini, 2012; Tunisini & Sebastiani, 2015), firms are increasingly dependent on effective relationships with external partners, linked through an integrated purchasing-sales interface (Piercy, 2009; Sheth et al., 2009; Wagner & Eggert, 2016). Alignment between purchasing and sales contributes to E2E value creation in the supply chain, helps to overcome supply chain disruptions, and contributes to supply chain resilience (Roberta Pereira et al., 2014). After all, a firm's two outward-facing functions “together form the brackets which define the value creation process. They are tied together through value creation, not separated by it” (Ivens et al., 2009, p. 853). While scholars increasingly recognize the need for integration of a firm's purchasing and sales functions, detailed guidelines to help managers achieve such integration in the pursuit of E2E value creation are sorely lacking. In this article we combine the extant literature with extensive practical experience to address this knowledge gap and contribute to this ongoing discussion.

Business schools may also contribute to our understanding of the purchasing-sales relationship. We suggest they rediscover the

similarities and symbiosis of both outward-facing functions and find the courage to change (Lambert & Enz, 2015) their teaching programs and connect the largely separated disciplines. Rather than isolating purchasing in broader supply chain/operations management and sales in (mostly consumer) marketing programs, business schools must combine the respective curricula and explore teaching and training horizontal integration of both domains. To prepare students for future value chain positions, the curriculum must blend the analytical perspective of business models, tools, and knowledge areas with the more behavioral perspective of intra- and inter-organizational relationship management. A recent study found that, while academic institutions have started addressing the importance of cross-functional integration (CFI) skills, such as communication, coordination, and collaboration, more work is needed “to reduce the actual and perceived CFI-skills gap to a level that is acceptable to employers” (D’Souza et al., 2022, p. 127).

In addition, business schools should change their organizational infrastructure to build stronger bridges across purchasing, marketing, and sales within integrated E2E value chains. For example, business schools could facilitate a focus on purchasing-sales alignment by establishing chairs that straddle both domains and creating combined E2E value creation degrees. Furthermore, they could stimulate ongoing academic-practitioner dialogues and collaborate with firms to (a) develop combined curricula, (b) create business cases that address PSI, (c) establish internships at firms, (d) use guest lectures from practitioners, and (e) initiate joint academic-practitioner research programs that address major PSI challenges faced by firms in different business contexts. Joint efforts of business schools, academics, and practitioners will help bridge the gap between purchasing and sales and improve firms’ E2E value creation efforts.

CRedit authorship contribution statement

Jürgen Scherer: Writing – review & editing, Writing – original draft, Methodology, Conceptualization. **Wim G. Biemans:** Writing – review & editing, Writing – original draft, Methodology, Conceptualization.

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Data availability

No data was used for the research described in the article.

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